

Maximum reward = (Spread – Net premium paid) × Lot size
= (200 – 80) × 75
= ₹120 × 75
= ₹9,000

Let’s see what happens in the best- and worst-case scenarios:

Particulars	Best-case Scenario	Worst-case Scenario
Nifty	24,800 and below	25,000 and above
Outcome of buying Nifty 25,000 put	Gain = 25,000 – 24,800 – 160 = ₹40	Premium of ₹160 is lost
Outcome of selling Nifty 24,800 put	Premium of ₹80 is captured	Premium of ₹80 is captured
Net outcome (per unit)	Gain = ₹40 + ₹80 = ₹120	Loss = ₹160 – ₹80 = ₹80
Lot size net outcome calculation (₹)	Total Gain = ₹120 × 75 = ₹9,000	Total Loss = ₹80 × 75 = ₹6,000

If Nifty falls below 24,800, profits get capped because the sold put limits the reward. Conversely, if Nifty stays above 25,000, the loss is limited to ₹6,000. Let us visualise these pay-offs